

CONTRACT AGREEMENT BETWEEN THE SAVANNAH FRUITS COMPANY AND NEW KARIKIS INTERNATIONAL SARL

This independent contractor agreement herein refer to as "this agreement" is entered into as of this day 11 / 01 / 19, by and between **The Savannah Fruits Company (SFC)**, located in **Tamale-Ghana**, hereafter refer to as "the client" and **New Karikis International Sarl** located in **Burkina Faso**, hereafter refer to as "the independent contractor." The client and the independent contractor may each be referred to in this agreement as "party" and collectively as "parties."

Contractual Obligations for Both Parties

1. Both parties shall execute this agreement as part of the Contract.
2. The contractual obligations in this agreement remain valid for all orders by "the client" unless otherwise stated in writing with the consent of both parties.
3. Prices per order shall be mutually negotiated and agreed upon by both parties prior to production. Without accounting for inflation or any economic destabiliser that might result in prices fluctuations, the agreed upon prices in this agreement is still binding.
4. In case of any breach of the terms of this agreement, either party reserves the right to seek redress within the confines of the law.
5. No failure or omission to enforce any of these terms of this agreement shall be construed as a waiver of such terms.
6. If any part of this agreement is declared invalid by a court of competent jurisdiction or any applicable law in force, the part so declared shall not affect the validity of the remaining parts of the agreement.

Contractual Obligation for "The Client"

1. "The Client" commits to order and pay the entire quantity of the contract (60 tons).
2. "The client" shall issue a Local Purchasing Order (LPO) describing the type of sheabutter desired, its quantity, unit price and mode of finance per order of the desired sheabutter.
3. Each order or "call off" shall be 20 tons at a time unless agreed otherwise.
4. "The client" shall pay up to 100% Free On Truck, upon satisfaction with the traceability documentation including Organic Certificate and COI. This is a revolving advance to be topped up for each order (3 times).
5. "The client" shall pay €2.0 per kilogram as the price of the organic sheabutter to be produced by the "Independent Contractor". This price includes the cost of packaging and off-loading the container.

Contractual Obligation for "The Independent Contractor"

1. "The independent contractor" shall produce 3 containers (60,000kg) of Organic certified sheabutter as requested by "the client" which shall be packed and truck loaded in Burkina Faso.
2. "The independent contractor" shall make available to "the client" all relevant documents pertaining to traceability such as waybills, receipts, Organic certificate and export documents such as invoice, packing list, Certificate of origin and Certificate of Inspection (COI) or Transaction Certificate (TC).
3. Failure to provide COI from the certification body (Ecocert) for each order (container) will lead to declassification of organic material to conventional and price will then be reduced to

- 1.3 EUR per kg. If advance payment has been received, the difference will be refunded to the Client.
4. "The independent contractor" commit to supply unadulterated Organic sheabutter with maximum humidity 1%, and maximum Free Fatty Acid (FFA) 3%. A penalty of 1.5% of the selling price will be discounted for each FFA above 3%. For example if the selling price is €2.0/kg and FFA is above 3%, a discount of €0.03/kg would be applied. Final paid price will then be €1.97/kg. If FFA level is above 4%, a penalty of 3% with a discount of €0.06 /kg would be applied, final pay price will then be €1.94/kg. Any additional increase in FFA level by 1% will lead to a disproportionate increase in the penalty by 1.5%
 5. "The Independent Contractor" is responsible for the packaging and loading the goods in the container. However, the "client" will negotiate production and price of adequate cartons to the supplier in Burkina.
 6. Any cost associated with accident, negligence or whatsoever reason in the course of production of the Organic sheabutter, is the sole and primary responsibility of "the independent contractor."

Termination of Contract

1. Either party reserves the right to terminate "this agreement" or seek redress within the confines of the laws of Ghana should there be failure to meet quality demands as stated in obligation '3' of "the independent contractor".
2. In the event of insecurity within the geographical boundaries of operation of any of the two parties which makes it dangerous or impossible to trade, or in the case of "force majeure" either party can terminate "this agreement." Under such circumstances, "the independent contractor" agree to return all funds advanced belonging to "the client"
3. Should there be the need to terminate the contract on any grounds either than the above mentioned, either party *MUST* put in writing with 14 days-notice prior to the date of termination explaining the reason behind the quest for termination. All properties, including in-cash holdings belonging to either parties *MUST* be properly returned and acknowledged.

Declaration by Both Parties

1. Both parties are aware that price stated in this contract and in the LPO as part of this contract is NOT subject to change and that any attempt to change it without mutual consent renders this agreement Null and Void.
2. The information provided in this contract and other related documents is true and valid.
3. I have read this contract and I understand the content and accept all the terms and conditions as stated.

IN WITNESS whereof the parties have set their hands and names on the day and year first above written.

New Karikis International Sarl

Name _____ Position _____

Signature: _____ Date: ____/____/____

Savannah Fruits Company

Name RAPHAEL GONZALEZ Position MD

Signature: _____ Date: 11 / 01 / 19



In the presence of: (Officers from both parties)

New Karikis International Sarl

Name _____ Position _____

Signature: _____ Date: ____/____/____

Savannah Fruits Company

Name FELILAH ABRA BOSOMIWE Position PERSONAL ASSISTANT

Signature: Felilab Date: 11 / 01 / 2019